

TENTATIVE RULING

United Wholesale Mortgage, LLC
v.
Alxies Martinez-Vasquez, et al.
(And Related Cross-Actions)
25CV001116

Cross-Defendants' Demurrer to Cross-Complaint and Motion to Strike

Hearing Date: June 26, 2026 (continued from May 29, 2026)

The demurrer of Cross-Defendants Alxies Martinez-Vasquez and Luciana Bernal (collectively, "Cross-Defendants") to the Cross-Complaint of Rosa Santamaria, Jeremy Rangel, and Signature Financial Services, Inc. (collectively, "Cross-Complainants") is **SUSTAINED WITH LEAVE TO AMEND** because each cause of action does not contain sufficient factual allegations to support it. [Code Civ. Proc. § 430.10, subd. (e).] As a result, Cross-Defendants' motion to strike is **MOOT**.

The Court notes that Cross-Defendants merged their demurrer and motion to strike into a single pleading. No authority is known that allows this, and the Court requests that Cross-Defendants refrain from combining such motions in the future.

Meet and Confer Requirement.

Preliminarily, the declaration of Jacob Yoneda reflects that the meet-and-confer requirement was satisfied. [Yoneda Decl. at ¶¶ 3-7; Code Civ. Proc. §§ 430.41, 435.5.]

Demurrer.

1. Legal Standard.

A demurrer for sufficiency assesses whether the complaint properly states a cause of action. [*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.] A demurrer based on uncertainty will only be sustained if the complaint is so deficient that the defendant cannot reasonably respond. [*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616.]

When courts evaluate demurrers, they interpret the allegations broadly and in context. [*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228.] In a demurrer, defects must be visible on the face of the pleading or by proper judicial notice. [Code Civ. Proc. § 430.30, subd. (a).] A demurrer examines only the pleadings, not the evidence, counsel's arguments, or external facts. [*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905; *Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.]

2. Discussion.

First Cause of Action (Breach of Contract). To plead a breach of contract in a cross-complaint, allegations must include (1) the existence of the contract, (2) the cross-complainant's performance or a valid excuse for nonperformance, (3) the breach by the cross-defendant, and (4) damages incurred by the cross-complainant. [*D'Arrigo Bros. of Cal. v. United Farmworkers of America* (2014) 224 Cal.App.4th 790, 800.] The Cross-Complaint lacks sufficient factual allegations regarding the existence of the contract, the parties involved, and its terms. Additionally, the damages claim does not specify the nature of the damages suffered. Since the contract terms are not pleaded, the demurrer to the First Cause of Action is **SUSTAINED WITH LEAVE TO AMEND** because the Cross-Complaint fails to state the breach of duty and damages adequately.

Second Cause of Action (Negligence). Pleading a negligence claim requires allegations that the cross-defendant owed the cross-complainants a legal duty, that the cross-defendant breached this duty, and that the breach was a proximate or legal cause of their injuries. [*Sharon P. v. Arman, Ltd.* (1999) 21 Cal.4th 1181, 1188.] Cross-Defendants argue that even if a duty existed, Mr. Vasquez would only be in breach of a duty owed to the lender and not the broker, and so Cross-Complainants cannot be damaged. The Cross-Complaint is devoid of any factual allegations explaining the connection between the alleged breach of duty and the type of harm proximately caused. Accordingly, the demurrer to the Second Cause of Action is **SUSTAINED WITH LEAVE TO AMEND**.

Third and Fourth Causes of Action (Fraud). To allege a fraud claim based on intentional misrepresentation or concealment, specific factual allegations are required: (1) misrepresentation (such as false statements, concealment, or nondisclosure); (2) knowledge of its falsity (scienter); (3) intent to deceive to induce reliance; justifiable reliance; and (4) damages resulting from it. [*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.] The allegations in Paragraphs 10-11 of the Cross-Complaint sufficiently describe the misrepresentation or concealment related to the submission of the loan application. However, they lack adequate details regarding the damages suffered by Cross-Complainants. The demurrer is **SUSTAINED WITH LEAVE TO AMEND**.

Fifth and Sixth Causes of Action (Defamation). Defamation involves the deliberate publication of a false, unprivileged statement of fact that tends to injure or causes special damage. [Civ. Code, §§ 45, 46.] The general rule is that the words constituting an alleged defamation must be specifically identified, either verbatim or in the pleading. [*Kahn v. Bower* (1991) 232 Cal.App.3d 1599, 1612, fn. 5.] Paragraphs 36 and 39 of the Cross-Complaint do not specify the statements made. Many of the allegations seem to reflect opinions rather than specific words used — such as claims that Ms. Santamaria made harmful representations, was untruthful, failed to disclose loan services provided to Mr. Vasquez fully, acted unprofessionally, was unethical, and behaved inconsistently with her professional role. [Cross-Complaint at ¶¶ 39, 46.] Cross-Complainants in their opposition do not contribute new information to this debate, focusing instead on the effects on Ms. Santamaria, including her professional reputation, ability to secure loans, and standing in the community. The demurrer is **SUSTAINED WITH LEAVE TO AMEND**.

Motion to Strike.

In light of the Court's demurrer ruling, Cross-Defendants' Motion to Strike is **MOOT**.

Conclusion.

The demurrer is **SUSTAINED WITH LEAVE TO AMEND**, and the motion to strike is **MOOT**. Cross-Complainants have 10 days from the date of service of the Notice of the Court's signed order to amend the operative Cross-Complaint. [Cal. Rules of Ct., rule 3.1320, subd. (g).]

Cross-Defendants shall prepare the Proposed Order consistent with this Tentative Ruling.

NOTE RE TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by following Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9. Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.** You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.